

GRANULES PHARMACEUTICALS, INC.
AUDIT REPORT
APRIL 1, 2016 to MARCH 31, 2017

Prepared by:

CHUGH CPAs, LLP
Accountancy Corporation
1600 Duane Avenue,
Santa Clara, CA 95054

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CHUGH CPAs, LLP

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INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Stockholders' of Granules Pharmaceuticals Inc.

We have audited the accompanying financial statements of Granules Pharmaceuticals Inc. (a Delaware corporation), which comprise the balance sheet as of March 31, 2017, and the related statements of income, statement of changes in stockholders' equity and cash flows for the year then ended, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Except as discussed in the following paragraph, our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.



We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to in the first paragraph present fairly, in all material respects, the financial position of Granules Pharmaceuticals Inc. and the results of its operations and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Chugh CPAs LLP

Chugh CPAs LLP

Santa Clara, CA

April 27, 2017

GRANULES PHARMACEUTICALS, INC
BALANCE SHEET
AS OF MARCH 31, 2017



ASSETS

CURRENT ASSETS

Cash & Cash Equivalents	\$ 136,947
Inventory, (Note 6)	1,063,414
Loans & Advances	389,255
Prepaid Expenses	<u>107,558</u>

TOTAL CURRENT ASSETS	1,697,174
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PROPERTY & EQUIPMENT

Property & Equipment, at cost (Note 7)	6,880,133
Less: Accumulated Depreciation	<u>(1,083,247)</u>

Property & Equipment, Net	5,796,886
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Capital Work in Progress	<u>2,666,065</u>
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PROPERTY & EQUIPMENT, NET	8,462,951
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OTHER ASSETS

Deferred Income tax Asset (Note 5)	1,922,588
Investments	2,074,333
Deposits	<u>305,809</u>

TOTAL OTHER ASSETS	<u>4,302,730</u>
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TOTAL NON CURRENT ASSETS	12,765,681
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TOTAL ASSETS	<u><u>\$ 14,462,855</u></u>
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GRANULES PHARMACEUTICALS, INC
BALANCE SHEET
AS OF MARCH 31, 2017



LIABILITIES & STOCKHOLDERS' EQUITY

CURRENT LIABILITIES

Accounts Payable	\$ 535,739
Other Tax payable	118,706
Payroll Payable	476,772
Payroll Tax Payable	29,452
Credit Card Payables	5,299
Provision for Other expenses	16,360

TOTAL CURRENT LIABILITIES	1,182,328
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LONG TERM LIABILITIES

Loan from Granules India	26,900,000
Accrued Interest - Granules India	838,560

TOTAL LONG TERM LIABILITIES	27,738,560
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TOTAL LIABILITIES	28,920,888
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STOCKHOLDERS' EQUITY

Common Stock: \$0.001 Par value, 10,000,000 Authorized Shares	
2,000,000 shares issued and outstanding	2,000
Additional Paid in Capital	1,998,000
Retained Earnings	(16,458,033)

TOTAL STOCKHOLDERS' EQUITY	(14,458,033)
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TOTAL LIABILITIES & STOCKHOLDERS' EQUITY	\$ 14,462,855
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GRANULES PHARMACEUTICALS, INC
STATEMENT OF INCOME
FOR THE YEAR ENDED MARCH 31, 2017



REVENUE	
Sales & Service Revenue, net	\$ -
Total Revenue	-
GROSS PROFIT	-
OPERATING EXPENSES	
Operating, General & Administrative Expenses (Schedule A)	13,751,787
TOTAL OPERATING, GENERAL AND ADMINISTRATIVE EXPENSES	13,751,787
LOSS FROM OPERATIONS	(13,751,787)
OTHER INCOME	
Other Income	650
LOSS BEFORE INCOME TAX	(13,751,137)
Income Tax Benefit (Note 5)	-
NET LOSS	\$ (13,751,137)

GRANULES PHARMACEUTICALS, INC
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
FOR THE YEAR ENDED MARCH 31, 2017



	<u>Common Stock</u>		<u>Additional</u>	<u>Retained</u>	<u>Total</u>
	<u># of Shares</u>	<u>Amount</u>	<u>Paid In Capital</u>	<u>Earnings</u>	<u>Stockholders'</u> <u>Equity</u>
BALANCE, MARCH 31, 2016	2,000,000	\$ 2,000	\$ 1,998,000	\$ (2,706,896)	\$ (706,896)
Net Income				(13,751,137)	(13,751,137)
BALANCE, MARCH 31, 2017	<u>2,000,000</u>	<u>\$ 2,000</u>	<u>\$ 1,998,000</u>	<u>\$ (16,458,033)</u>	<u>\$ (14,458,033)</u>

GRANULES PHARMACEUTICALS INC.
STATEMENT OF CASH FLOWS
AS OF MARCH 31, 2017



CASH FLOWS FROM OPERATING ACTIVITIES

Net Loss	(13,751,137)
Adjustments to reconcile Net Income to Net Cash	
Provided by Operating Activities:	
Depreciation & Amortization	852,711
(Increase) decrease in operating Assets:	
Inventories	(1,063,414)
Loans & Advances	(388,914)
Deposits	97,500
Prepaid Expenses	(85,404)
Increase (decrease) in operating Liabilities:	
Accounts Payable	453,862
Other Tax payable	118,706
Payroll Payable	446,080
Payroll Tax Payable	27,132
Credit Card Payables	(11,763)
Provision for Other expenses	4,520
Accrued Interest- Granules India	704,818
Total Cash Used by Operating Activities	(12,595,304)

CASH FLOWS FROM INVESTING ACTIVITIES

Capital Work in progress	(2,666,065)
Purchase of Property and equipment	(1,716,710)
Net Cash Used by Investing Activities	(4,382,775)

CASH FLOWS FROM FINANCING ACTIVITIES

Investment in US Pharma Ltd	(2,074,333)
Loans and advances from Granules India Ltd	19,100,000
Net Cash Provided by Financing Activities	17,025,667

NET INCREASE IN CASH 47,588

CASH, beginning of year 89,359

CASH, end of year \$ 136,947

Note 1 - Nature of Business

Granules Pharmaceuticals, Inc (“GPI” the “Company”) was incorporated in Delaware on October 10, 2014. The Company is a wholly owned subsidiary of Granules India Limited, a company incorporated in India. The Company will focus on Research and Development and Manufacturing of pharmaceutical formulations. The Company is expected to commence the operations in 2017-2018.

Note 2 - Summary of Significant Accounting Policies

Basis of Accounting

The Company uses the accrual method of accounting for both financial reporting and income tax reporting.

Use of Estimates

The preparation of financial statements and related disclosures in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and revenues and expenses during the period reported. Actual results could differ from those estimates. Significant items subject to such estimates and assumptions include the useful lives of property, machinery and equipment, allowances for doubtful accounts, recognition of deferred tax assets, amortization period of intangibles, inventory, and provision for employee benefit obligations, income tax uncertainties and other contingencies.

Cash

Cash consists of cash in bank accounts.

Accounts Receivable

The Company has not generated any revenue for the period ended March 31, 2017 and accordingly there is no accounts receivable balance as of March 31, 2017.

Property and Equipment

Property and equipment are stated at cost. Depreciation is provided principally on a straight-line method over the estimated useful lives of the assets when the asset has been put to use. The Company has put some assets to use during the year ended March 31, 2017 and accordingly depreciation is recorded for the same. The assets that are not put to use are not depreciated and classified under Capital Work in Progress.

GRANULES PHARMACEUTICALS INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2017



Estimated useful lives of the assets put to use are as follows:

Computers	3 to 5 years
Equipment	3 to 7 years
Furniture and fixtures	3 to 7 years
Vehicles	5 years
Improvements	15 years

When assets are retired or otherwise disposed of, the cost and related accumulated depreciation is removed from the accounts and the resulting gain or loss on disposal is reflected in the financial statements. The cost of significant additions and replacement of components is capitalized and depreciated while expenditures for maintenance and repairs are charged to expense as incurred. Depreciation expense for the year ended March 31, 2017 is \$ 852,711.

Revenue Recognition

Revenue is recognized when significant risk and rewards in respect of ownership are transferred to the customer and when the following criteria are met:

- There is persuasive evidence of an agreement.
- Services have been delivered.
- The fee is fixed and determinable.
- Collectability is probable, and customer creditworthiness has been verified and approved with payment expected within normal payment terms.

The Company has not started to generate revenue during the period ended March 31, 2017.

Income Taxes

The Company accounts for income taxes in accordance with FASB ASC No. 740 (formerly SFAS No. 109) "Accounting for Income Taxes", which requires an asset and liability approach to financial accounting and reporting of income taxes. Deferred income tax assets and liabilities are computed annually for differences between the financial statement and tax basis of assets and liabilities that will result in taxable or deductible amounts in the future based on the enacted tax laws and rates applicable to the periods in which the differences are expected to affect taxable income.

Research and development

Expenditures for research and development are expensed as incurred and include salaries, benefits and other employee related costs; clinical trial and related clinical manufacturing costs, pharmaceutical supplies and other outside service fees and facilities and overhead costs.

Leases

The Company accounts for the lease of its office space as an operating lease. The related rentals are charged to expense in the period in which they are incurred.

Note 3 - Related Party Transactions

The Company has entered into professional services agreement with its affiliate Granules USA, a wholly owned subsidiary of Granules India Limited. Granules USA Inc. provides the Company with consultancy services and also incurs certain expenses on behalf of the Granules Pharmaceuticals, Inc and these are subsequently transferred and allocated to the respective companies. These respective companies have accounts receivable and payable for the same. In addition to this the Company purchases raw materials and pharmaceutical supplies from Granules USA Inc.

The Company has taken loan from Granules India Limited, India, the parent company. The Company has accrued interest on the outstanding loan @ 4% for the year ended March 31, 2016.

Details of transactions between the Company and its related parties are as follows:

Granules USA.	03/31/2017
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Cost of Products	\$ 17,050
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Consultancy fees	29,055
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Granules India Limited.	03/31/2017
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Loans and advances	\$ 26,900,000
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Accrued Interest	838,560
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Note 4 – Operating Lease

The Company had entered into a lease agreement to rent out the office space in Chantilly, Virginia on December 1, 2014 for a period of ten years and five months. Rent expense totaled \$ 661,948 for the year ended March 31, 2017.

The Company has entered into a new agreement as on January 30, 2017 with the landlord for purchase of the leased building. The transaction is expected to close in April 2017, and if it goes through accordingly the Company will not be obliged to pay any future lease amounts due to the termination of the lease agreement on the effect of the new purchase agreement.

GRANULES PHARMACEUTICALS INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2017



Note 5 - Income Taxes

The Company accounts for income taxes under the provisions of FASB ASC 740, "Accounting for Income Taxes". Under ASC 740, deferred taxes are required to be classified based on the financial statement classification of the related assets and liabilities which give rise to temporary differences. Deferred taxes result from temporary differences between the financial statement carrying amounts and the tax bases of assets and liabilities.

Valuation Allowance:

At March 31, 2017, the Company had net operating loss carry forwards for federal and state income tax purposes of \$18.24 million. Federal net operating loss carry forwards will begin to expire in 2034. State net operating loss carry forwards begin to expire in 2029.

Utilization of net operating loss may be subject to a substantial annual limitation due to the ownership change limitation provided by the Internal Revenue Code of 1986 and similar state provisions. The annual limitation may result in the expiration of the net operating loss before utilization.

As of March 31, 2017, the Company has federal and state deferred tax assets of \$6.30 million and \$0.65 million, respectively, which have been partially offset by a valuation allowance. Deferred tax assets relate primarily to net operating loss carry forwards. FASB ASC 740, *Accounting for Income Taxes*, provides for recognition of deferred tax assets if realization of such assets is more likely than not. Based upon the weight of available evidence, which includes the Company's net losses since 2014, the Company has provided a partial valuation allowance against its deferred tax assets. Deferred Tax asset has been recognized to the extent that the Company believes that these assets are more likely than not to be realized.

The components of deferred tax asset as on March 31, 2017 are as follows:

		03/31/2017
<u>Net Operating Loss</u>		
State	\$ 168,820	
Federal	1,639,962	1,808,782
<u>Depreciation</u>		
State	6,883	
Federal	66,898	73,781
<u>Research Credit</u>		
State	3,736	
Federal	36,289	40,025
Total Deferred Tax Asset		\$ 1,922,588

GRANULES PHARMACEUTICALS INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2017



Note 6 - Inventories

Inventories consist mainly of raw materials and packing supplies purchased for research and development as well as production, and are stated at cost. As of March 31, 2017 the Inventory is \$ 1,063,414.

Note 7 - Property, Plant and Equipment

The property, plant and equipment for the year ended March 31, 2017 consists of the following:

Automobiles	\$ 31,137
Computers	113,484
Furniture & Fixtures	45,754
Improvements	2,197,007
Machinery & Equipment	4,351,952
Office Equipment	8,541
Software & License	92,645
Store Handling Machine & Equipment	36,676
Television	2,937
Less: Accumulated depreciation	<u>(1,083,247)</u>
Net Property, Plant and Equipment	<u>\$ 5,796,886</u>

Depreciation expenses for the year ended March 31, 2017 totaled to \$852,711.

Note 8 - Advances

The Company has entered into an agreement on January 30, 2017 with Wilson Concorde Parkway I, LLC towards purchasing office premises located at 3701 & 3725 Concorde Parkway, Chantilly, VA. Towards the execution of the agreement the Company has deposited \$300,000 during the year in escrow.

Note 9 – Stockholder's Equity

The Company was incorporated on October 20, 2014 with an authorized capital of 10,000,000 shares of its common stock with par value of \$0.001 per share. The Company had 2,000,000 shares issued and outstanding as of March 31, 2017. The Company had additional paid in capital of \$ 1,998,000 as on March 31, 2017.

There were no stocks issued and no additional paid in capital is contributed during the year ended March 31, 2017.

GRANULES PHARMACEUTICALS INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2017



Note 10 – Retirement Plans

The Company has a 401(k) Defined Contribution plan. Under the plan, each employee can elect to participate after meeting the minimum age requirement and other eligibility requirements set forth in Adoption agreement. The Company makes matching contribution to the plan up to 2% of employee wages for those electing to participate in the plan.

The total employer contribution for the year ended March 31, 2017 was \$44,563. The 401 K contribution are charged to expense in the period in which they are incurred.

Note 11 – Research and development expenses

Research and development expenses for the year ended March 31, 2017 consists of the following:

Analytical R&D	\$ 474,448
Formulations R&D	1,368,544
Cost of Labor	2,401,556

Total Research & Development expenses	\$ 4,244,548
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Note 12 – Contingencies

There are no pending legal actions, including arbitrations, class actions and other litigation, arising in connection with the Company's activities. Legal reserves are established in accordance with FASB ASC 450 (formerly known as SFAS No. 5), "Accounting for Contingencies". Once established, reserves are adjusted when there is more information available or when an event occurs requiring a change. There are no legal reserves in the statement of financial condition as of March 31, 2017

Note 13- Subsequent Events

As required under ASC Topic 855 "Subsequent events" (previous covered under FAS 165) , the Company is required to disclose events and transactions after balance sheet date but before the financial statements are available to be issued. The Company has evaluated subsequent events till April 27, 2017 which is the date the financial statements are available for issue and following was concluded:

1. The Company has borrowed a loan of \$15.043 million during April 2017 from Granules India limited, parent company and out of which \$11.31 million will be used for purchasing property.
2. The Company has entered into an agreement on January 30, 2017 with Wilson Concorde Parkway I, LLC towards purchasing office premises located at 3701 & 3725 Concorde

GRANULES PHARMACEUTICALS INC
NOTES TO FINANCIAL STATEMENTS
MARCH 31, 2017



Parkway, Chantilly, VA. The purchase price of the property is \$11,495,376. Upon execution of this agreement, the Company has deposited an advance of \$300,000 in escrow during the year 2016-17 and the balance amount will be paid in April 2017.

3. On purchase of the office premises mentioned above, the existing tenants of the property will become tenants of the Company; which in turn will generate rental income for the Company

The Company has concluded that no other events or transactions have occurred which would require adjustments or disclosures in the Company's financial statements.

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INDEPENDENT AUDITORS' REPORT ON SUPPLEMENTARY INFORMATION

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◇Licensed in Maryland

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To the Board of Directors and Stockholders'
of Granules Pharmaceuticals Inc

We have audited the financial statements of Granules Pharmaceuticals, Inc. as of and for the year ended March 31, 2017, and our report thereon dated April XX, 2017, which expressed an audit opinion on those financial statements. Our audit was conducted for forming an opinion on the financial statements. The Schedules A- Statement of Operating, General & Administrative Expenses are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, except for the as described above, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Chugh CPAs LLP

Chugh CPAs, LLP
April 27, 2017

GRANULES PHARMACEUTICALS, INC
SCHEDULE A
OPERATING, GENERAL AND ADMINISTRATIVE EXPENSES
FOR THE YEAR ENDED MARCH 31, 2017



Accounting & Audit Fees	\$ 11,000
Analytical R&D	622,475
Advertisement	2,143
Auto Expense	239
Bank Service Charges	9,677
Cleaning expenses	97,588
Common Area Maintenance expenses	224,444
Computer Maintenance expenses	23,799
Consultancy fees	411,871
Depreciation Expense	852,711
Dues & Subscription	60,448
Employees Benefits	44,563
Entertainment & Meals	23,703
Equipment & Furniture Rental	33,130
Fees & Licenses	30,465
Formulations R&D	1,550,711
Insurance	526,542
Interest	707,152
Legal & Professional Expenses	287,012
Miscellaneous	4,225
Moving & Storage expenses	16,939
Office Expenses	4,536
Outside Services	157,896
Packaging expenses	18,276
Payroll Expenses	5,256,169
Payroll fees	6,824
Postage & Delivery	3,303
Printing & Stationary	12,417
Pest control	12,172
Pharmaceutical services	2,935
Rates & Taxes	261
Recruitment charges	63,367
Rent	661,948
Repairs & Maintenance	726,396
Safety & Security expenses	20,365

GRANULES PHARMACEUTICALS, INC
SCHEDULE A(Continued)
OPERATING, GENERAL AND ADMINISTRATIVE EXPENSES
FOR THE YEAR ENDED MARCH 31, 2017



Seminars & Conferences	\$ 22,760
Shipping expenses	71,754
Staff Welfare	104,499
Supplies	39,128
Taxes - Payroll	371,920
Property Taxes	120,279
Telephone	49,262
Travel Expenses	159,242
Utilities	305,822
Uniform expenses	19,419
TOTAL OPERATING, GENERAL AND ADMINISTRATIVE EXPENSES	<u><u>\$ 13,751,787</u></u>